essential items. But this would encourage smuggling.

IV. Miscellaneous Measures

In addition to the measures mentioned above, there are a number of other measures that can help make the balance of payments position more favourable, like i). foreign loans, ii).encouraging foreign investment in the home country, iii).development of tourism to attract foreign tourists, iv).providing incentives to enhance inward remittances and v). import substitution.

7.9 Exchange Rate

7.9.1 Meaning of Foreign Exchange (FOREX)

FOREX refers to foreign currencies. The mechanism through which payments are effected between two countries having different currency systems is called FOREX system . It covers methods of payment, rules and regulations of payment and the institutions facilitating such payments.

7.9.2 Definition of FOREX

"FOREX is the system or process of converting one national currency into another, and of transferring money from one country to another".

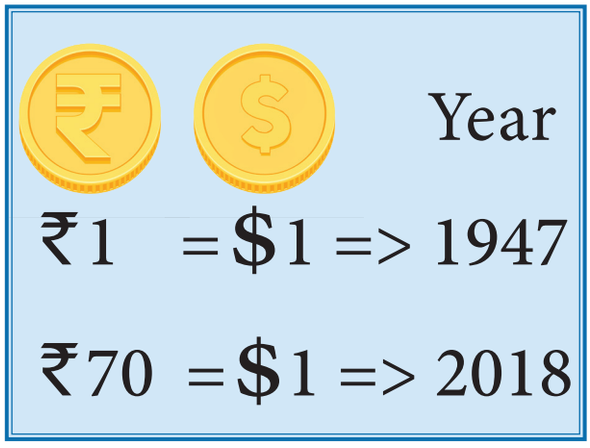
7.9.3 Rate of Exchange

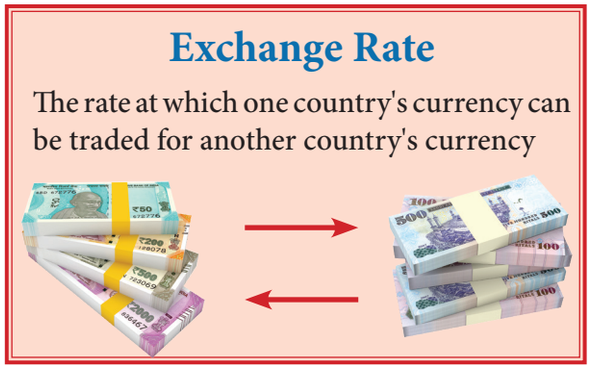
The transactions in the exchange market are carried out at exchange rates. It is the external value of domestic currency. Thus, exchange rate may be defined as the price paid in the home currency (say ₹ 75) for a unit of foreign currency (say 1 US $). It can be quoted in two ways:

1. One unit of foreign money (1 USD) to so many units of the domestic currency (₹); or
2. A certain number of units of foreign currency (USD)to one unit of domestic money (₹ 1)

For instance:

1 U.S Dollar = ₹ 70 , or
₹ 1 = U.S.1.42 cents





7.9.4. Definition of Equilibrium Exchange Rate

"The equilibrium exchange rate is that rate, which over a certain period of time, keeps the balance of payments in equilibrium".

- Ragner Nurkse

12-Economics-Chapter_7.indd 141 23-12-2022 14:44:38